

**AUTHORITIES SHOULD ASSESS
WHETHER AN INSURER NEEDS TO
HAVE RECOVERY AND
RESOLUTION PLANS IN PLACE BY
CONSIDERING THE INSURER'S...**

NATURE

The type of business the insurer undertakes, its business model, operational structure, activities or product offerings.



SCALE

The insurer's size in absolute and relative terms, for example in terms of total assets, liabilities, gross written premiums, number of policyholders.



COMPLEXITY

The intricacies of an insurer, for example due to legal, financial, structure or cross-border aspects.



SUBSTITUTABILITY

The extent to which an insurer's activities, products or services can be replaced by other market participants within a reasonable timeframe and at a reasonable cost.



CROSS-BORDER ACTIVITIES

The extent of an insurer's operations in foreign jurisdictions.



INTERCONNECTEDNESS

The degree to which an insurer is linked to other financial institutions or the broader financial system.



SPECIFIC CIRCUMSTANCES

If the insurer provides critical functions that cannot be easily replaced or when its failure would have significant repercussions for financial stability and/or the real economy.